

The Complete Financial Guide for Young Couples

After 7 more years, Sam owned his \$125,000 home, debt-free, and had paid a total of \$160,692 for it, including interest.

i.e., 7 years at \$1,000/month = \$ 84,000

7 years at \$ 913/month = 76,692
\$160,692

But Sam is not finished. Bill Big has approximately 15 years to pay on his mortgage. So Sam takes his last monthly payment amount (\$913) and puts it into a pension plan at 8 percent annual interest.

When Bill owns his \$125,000 home at the end of 30 years, Sam owns his too. But Sam also has \$353,521 in his pension plan. The value of Sam Small's strategy is self-evident. As Proverbs 21:5 says, "The plans of the diligent lead surely to advantage, but everyone who is hasty comes surely to poverty."

Once you decide that you are able to afford a home, you'll be faced with multiple other decisions and added costs. Most couples would be well advised to buy a good used home the first time. New homes always cost more than anticipated, especially during construction. They lack curtains, lawn-care tools, and a myriad of other items necessary to make a house a home. With used housing, many of these items can be negotiated in the sale, not the least of which includes shrubbery.

The disadvantages of building a home are well known among contractors, and you would think their children would know better, but Warren didn't. He and Sherri had been married about three years when an unexpected dip in mortgage rates enticed them to buy their first home. Warren's father was a building contractor in another state, and since Warren had worked with him some, he felt he could build more cheaply than he could buy a used home.

He and Sherri planned their home out very well, taking into consideration building costs and what they could afford in mortgage payments. Sherri's parents gave them \$10,000, which purchased their building lot. Every detail was worked out, right down to the wallpaper and paint.

Everything went smoothly through the initial phase of pour-